Market Opportunity Analysis: Regional Digital Assets

This analysis assesses the digital asset market opportunity for financial centres in the Gulf region, with emphasis on tokenisation and institutional custody. Figures are indicative and intended for strategic planning.

Opportunity Summary

The regional digital asset market is projected to grow from an estimated USD 12 billion in addressable assets in 2024 to USD 45 billion by 2028, a compound annual growth rate of roughly 39%. Tokenised real-world assets and regulated stablecoin settlement represent the largest near-term opportunities.

Market Signals

- Sovereign wealth funds are allocating to digital infrastructure and tokenisation platforms.
- Several global custodians have announced regional licences in 2025.
- Institutional demand favours regulated venues over offshore exchanges.

Demand Drivers

- Efficiency gains from instant settlement and reduced counterparty risk.
- Fractional ownership of real estate, private credit, and infrastructure.
- Regional push toward economic diversification away from hydrocarbons.

Competitive Context

ADGM and DIFC lead regional regulatory clarity. Singapore remains the global benchmark for fintech regulation and talent depth. London retains scale in capital markets but faces post-Brexit competitiveness questions. The window for regional leadership in tokenisation is approximately 18 to 24 months before frameworks converge.

Risks and Barriers

- Fragmented cross-border regulation increasing compliance cost.
- Custody and cyber-security risk for institutional adoption.
- Volatility undermining confidence in tokenised products.

Recommended Next Steps

- Prioritise tokenisation of private credit and real estate as flagship use cases.
- Partner with one global custodian to anchor institutional confidence.
- Publish a regional interoperability standard within 12 months.